



PASSING THE BATON

- 1 Start with keeping the objective in mind; identify core competencies, skills, abilities, etc., of the prospects
- 2 Be clear about the roles that need to be filled; engage all stakeholders to ensure their buy-in
- 3 Plan ahead with clear short-term goals, including any uncertainties
- 4 Plan in advance and keep the family and other stakeholders in the loop around any decisions are made
- 5 Pass on the property using a Will, Trust or as a gift

THE WILL POWER

QUICK FACTS ABOUT A 'WILL'

- ▶ It includes the details of all the assets—both movable and immovable—and you can prepare it offline as well as online
- ▶ A Will supersedes all nominations made in bank accounts, insurance policies and other financial assets
- ▶ A Will can be modified. In case of modification, an additional document 'codicil' is attached to the original, which then becomes part of the Will
- ▶ In the absence of a Will, your property will be divided on the basis of applicable personal law or religion

THE TRUST MACHINE

THINGS TO KNOW WHILE CREATING A TRUST

- ▶ Set up a detailed mechanism in the Trust deed to ensure objectives of the Trust are achieved
- ▶ A Trust should survive and achieve its objectives even without the intervention of the Settlor
- ▶ A Trust deed should address the appointment and removal of Trustees and have clear guidelines for the management and investment of the Trust's property
- ▶ A Trust deed should also address mediation/dispute resolution/voting mechanism in the event of any disagreements over actions of the Trust

received after paying some amount from any person other than relatives and that amount is less than the stamp duty value of the same property by an amount exceeding ₹50,000, the difference between the stamp duty value of the property and such amount shall be taxable. Further, when a property is settled under a Trust, it is also exempt from taxation," he adds.

Each of the above methods of succession planning has its own advantages. Therefore, a succession plan should be prepared according to the objectives of the individual bequeathing his/her property and its size and legal situation. As there is no one-size-fits-all formula, one must first be clear about one's objectives. Once that is clear, professional advisors can assist them in creating the right mechanism for giving effect to the objective.

"A businessperson may want to undertake succession planning because he/she believes that the business will be best carried forward by someone other than his/her own children. It is therefore different for each individual," says Parekh. Not to mention that estate planning is a complex process if it involves overseas assets, which may create overseas tax exposure as well. "One should therefore appoint specialist advisors who can advise on different aspects of estate planning. A lot of people rely on hearsay advice and implement estate planning without realising the tax and/or regulatory challenges," adds Parekh.

Ambani involved his children in the business from an early stage. This paved the way for them to learn the business before taking over its reins. "The key factor of Mukesh Ambani's succession plan is his focus on the upcoming generation that has allowed him to appoint his children on the boards of several companies under RIL," says Thakur. **BT**

@Teena_Kaushal